

PNM

Note in respect of lands in Goa

Certain individuals and companies came together to acquire land in Goa, develop it and market the same. For this purpose, they contributed funds either directly or through private limited companies to Mr. Pascoal. It may be noted that Mr. Pascoal is in the real estate business and has been conducting the business under various entities. One needs to verify whether any business activity is being done in his individual name or in the name of any proprietary concern.

Most of the lands acquired have been acquired in the name of Mr. Pascoal except for one plot of land which was acquired in the name of one of the private limited companies.

The parties had constituted an AOP for the purpose of acquiring and developing the land. However, the AOP was not activated.

It is proposed to regularise the arrangement to reflect the true intent of the parties. The basic proposal is as under.

It is proposed that the parties will activate the AOP. Mr Pascoal will bring the lands acquired in his name as his capital contribution in the AOP. The lands will be brought into the AOP at cost or cost plus reasonable appreciation or at the value based on the ready reckoner applicable for stamp duty purposes in the State of Goa. This aspect has to be discussed and decided.

The implications of this proposal are discussed below:

- Presuming that the lands are a capital asset in the hands of Mr. Pascoal, Section 50C of Income Tax Act may not be applicable if Mr Pascoal brings the land as his capital contribution in the AOP. Section 45(3) of the Income Tax Act provides that when there is a transfer by way of bringing an asset as capital contribution in an AOP, for the purposes of Section 48 the amount recorded in the books of account of the AOP as the value of the capital asset is deemed to be the full value of the consideration received or accruing as a result of the transfer of the capital asset. Considering this

specific provision, it appears that section 45(3) will prevail over section 50C for computing the capital gain. Refer *Carlton Hotel (P) Ltd. vs. ACIT*. Also, the Supreme Court, in the context of a partner bringing his personal asset as capital contribution in a partnership firm, in the case of *Sunil Siddharthbhai vs. CIT* [1985] 156 ITR 509 (SC) has held that it is impossible to evaluate consideration in such a case. Considering this, it is not possible to evaluate whether the consideration received or accruing is less than stamp duty valuation and consequentially, provisions of section 50C may not apply. However, this aspect is debatable.

- As mentioned earlier, Mr Pascoal is in the business of real estate development. On this background it is likely that the lands acquired by Mr. Pascoal which are to be brought in as capital contribution in the AOP may be treated as business asset in his hands and not capital asset. In those circumstances also section 50C will not apply since section 50C applies in computing the capital gain and not business profits.
- One must also consider the provisions of section 56(1)(vii)(b) of the Income Tax Act. This section provides for taxing as income from other sources the value adopted for the purposes of stamp duty of any immovable property received by an individual or HUF without consideration. This section applies only to individual or HUF and for property received without consideration. In the present proposal the recipient of the property is an AOP (not an individual or HUF) and the AOP will be receiving the property for a consideration being amount credited to the capital account of Mr. Pascoal as deemed by section 45(3) or being the right to receive the profit etc. as held by the Supreme Court in the case of *Sunil Siddharthbhai vs. CIT* [1985] 156 ITR 509 (SC). Considering this, section 56(1)(vii)(b) of the Income Tax Act will not have application in the present proposal.

- Depending on the value at which the property is brought in by Mr. Pascoal in the AOP, the share of profit of various members of the AOP will have to be adjusted. This is so because the advances were made to Mr. Pascoal based on the property values in the year; while the properties will be brought into the AOP at a different value.
- Mr. Pascoal will refund the amounts received by him as advance from various parties and the parties in turn will bring these amounts as their capital contribution to the AOP.
- Similar action will be taken in respect of land covered by the arrangement but acquired in the name of a private limited company.
- Stamp Duty issues, if any, may be verified locally.